



Conflict & Negotiation

*Let us never negotiate out of fear.
But let us never fear to negotiate.* —John F. Kennedy



conflict *A process that begins when one party perceives that another party has negatively affected, or is about to negatively affect, something that the first party cares about.*



Types of Conflict

In Organizational Behavior, conflict can be classified **into five** common types based on what the disagreement is about. These are useful to explain in class because students can easily relate them to workplace situations.



Types of Conflict

1. Task Conflict

Conflict related to the work itself, such as goals, ideas, or content of the task.

Focus is on what should be done.

Sometimes constructive, because it can improve decision quality.

E.g.

In a project team, one employee believes the company should focus on online marketing, while another argues that traditional advertising is more effective.



Types of Conflict

2. Process Conflict

Conflict about how the work should be done, including responsibilities and procedures.

Focus is on methods, roles, and responsibilities.

E.g.

A team argues about who should handle data analysis, presentations, and client communication in a project.



Types of Conflict

3. Relationship Conflict

Conflict arising from personal issues, emotions, or interpersonal tensions between individuals.

Emotional and personal in nature.

Usually harmful for team performance.

E.g.

Two employees constantly argue because they dislike each other's attitude or personality, even when discussing simple tasks.



Types of Conflict

4. Intrapersonal Conflict

Conflict within an individual when a person experiences incompatible thoughts, values, or pressures.

Internal psychological struggle.

E.g.

An employee wants to leave work early for family, but also wants to impress the manager by staying late.



Types of Conflict

5. Interpersonal Conflict

Conflict between two individuals due to differences in opinions, goals, or personalities.

Occurs between people, not within a person.

E.g.

A manager and employee disagree about work deadlines or performance expectations.



Types of Conflict (based on impact)

Functional conflict is a type of conflict that supports the organization's goals and improves performance.

It encourages:

- new ideas
- better decision-making
- critical thinking
- innovation

E.g.:

In a meeting, two team members disagree about which marketing strategy should be used. They discuss their ideas openly, analyze data, and finally choose the best strategy for the company.



Types of Conflict (based on impact)

Dysfunctional conflict is a type of conflict that harms the organization and reduces performance.

It creates:

tension

hostility

lack of cooperation

poor communication

E.g:

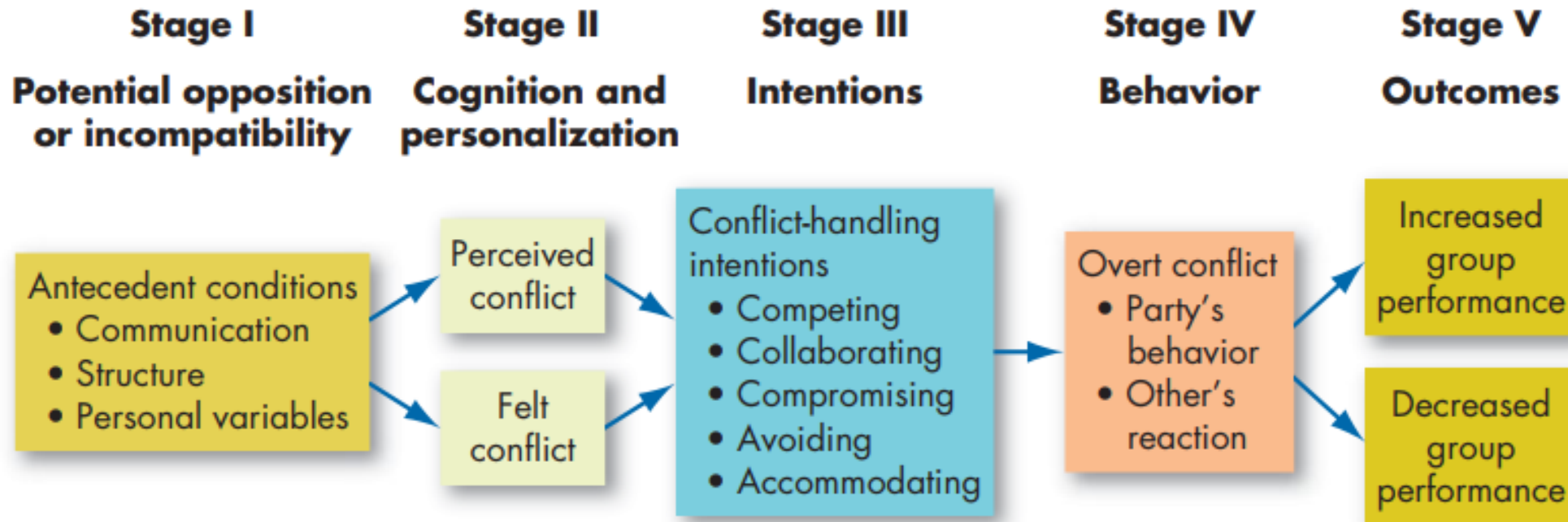
Two employees dislike each other and constantly argue during meetings. Because of their personal conflict, the team fails to complete the project on time.



The Conflict Process

Exhibit 14-1

The Conflict Process



The Conflict Process

Stage I : Potential Opposition or Incompatibility

This stage identifies the **conditions that create opportunities for conflict**. These conditions do not necessarily lead to conflict, but they **increase the possibility of conflict occurring**.

Major Sources of Conflict

poor communication
different interpretations
lack of information
noise or barriers in communication
size of organization
personality differences

E.g:

A manager gives vague instructions, and employees interpret them differently.



The Conflict Process

Stage II : Cognition and Personalization

At this stage, **conflict is perceived and felt by the parties involved.**

Two important elements exist:

1. Perceived Conflict

The parties become **aware that conflict exists**, but emotions may not yet be involved.

E.g:

Two departments realize they have different goals.

2. Felt Conflict

The conflict becomes **emotional**, leading to feelings such as:

anger

tension

frustration

anxiety

Once emotions enter the situation, conflict becomes **more intense.**



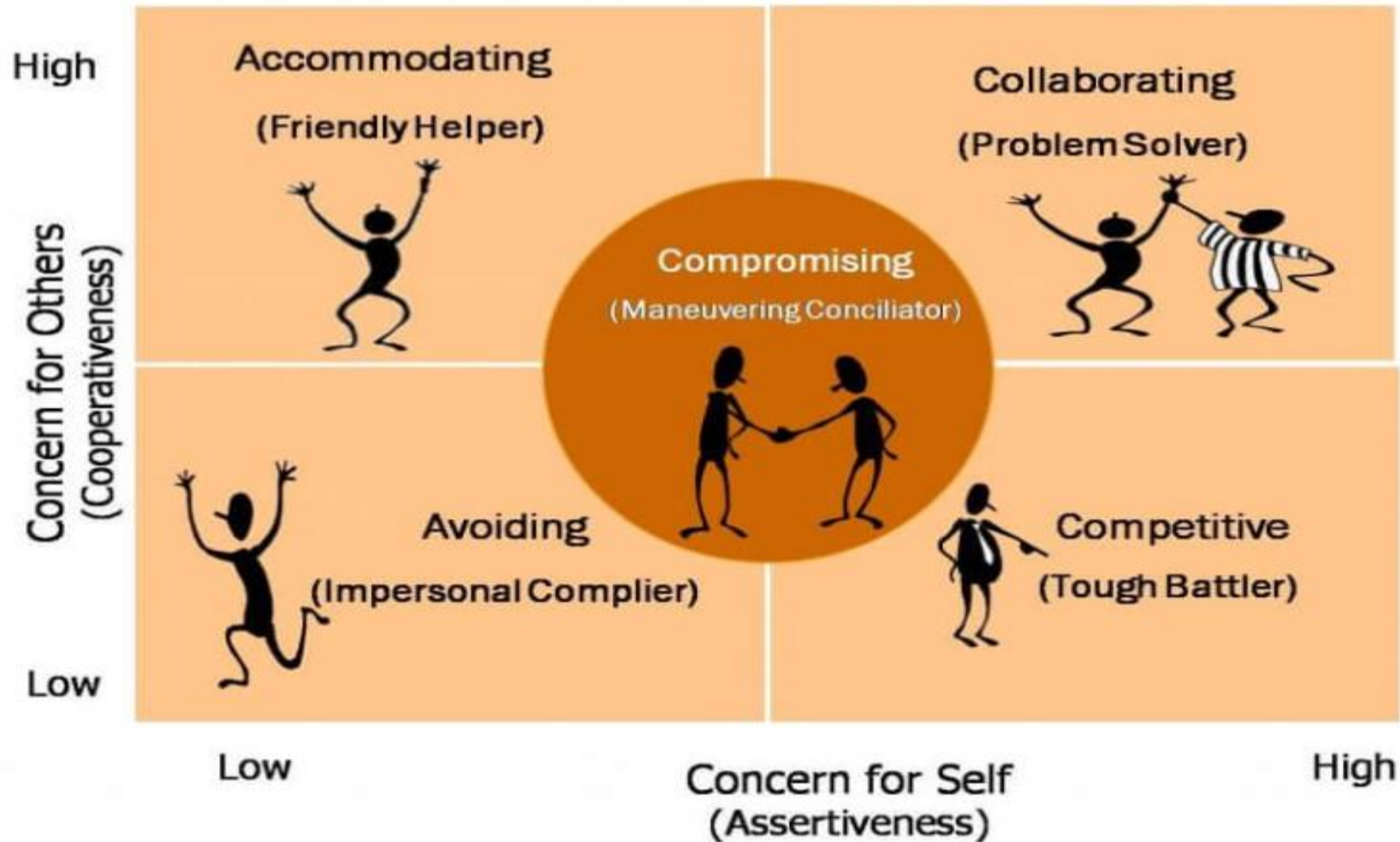
The Conflict Process

Stage III : Intentions

- Individuals experience conflict and attempt to assess the intentions of the other party
- Individual's intentions are also crucial at this stage



CONFLICT HANDLING INTENTIONS



The Conflict Process

Stage III –Intentions

- **Competing** When one person seeks to satisfy his or her own interests regardless of the impact on the other parties to the conflict, that person is **competing**
- **Collaborating** When parties in conflict each desire to fully satisfy the concerns of all parties, there is cooperation and a search for a mutually beneficial outcome
- **Avoiding** A person may recognize a conflict exists and want to withdraw from or suppress it.



The Conflict Process

Stage III

- **Accommodating** A party who seeks to appease an opponent may be willing to place the opponent's interests above his or her own, sacrificing to maintain the relationship.
- **Compromising**- each party intends to give up something.



The Conflict Process

Stage IV – Behaviour

- At this stage conflicts show in behaviour
- Verbal Attacks
- Threats
- Negotiating for resolution



The Conflict Process

Stage V – Outcomes

- At this stage the effects or outcomes of the conflicts start to emerge
- **Functional Outcomes** – Increase in performance, Improved communication with in the team, better structure and norms / rules
- **Dysfunctional Outcomes** – Reduced group effectiveness, poor communication, low trust, poor group performance



Conflict Management

conflict management *The use of resolution and stimulation techniques to achieve the desired level of conflict.*



Exhibit 14-4**Conflict Management Techniques****Conflict-Resolution Techniques**

<i>Problem solving</i>	Face-to-face meeting of the conflicting parties for the purpose of identifying the problem and resolving it through open discussion.
<i>Superordinate goals</i>	Creating a shared goal that cannot be attained without the cooperation of each of the conflicting parties.
<i>Expansion of resources</i>	When a conflict is caused by the scarcity of a resource (for example, money, promotion, opportunities, office space), expansion of the resource can create a win-win solution.
<i>Avoidance</i>	Withdrawal from or suppression of the conflict.
<i>Smoothing</i>	Playing down differences while emphasizing common interests between the conflicting parties.
<i>Compromise</i>	Each party to the conflict gives up something of value.
<i>Authoritative command</i>	Management uses its formal authority to resolve the conflict and then communicates its desires to the parties involved.
<i>Altering the human variable</i>	Using behavioral change techniques such as human relations training to alter attitudes and behaviors that cause conflict.
<i>Altering the structural variables</i>	Changing the formal organization structure and the interaction patterns of conflicting parties through job redesign, transfers, creation of coordinating positions, and the like.

Conflict-Stimulation Techniques

<i>Communication</i>	Using ambiguous or threatening messages to increase conflict levels.
<i>Bringing in outsiders</i>	Adding employees to a group whose backgrounds, values, attitudes, or managerial styles differ from those of present members.
<i>Restructuring the organization</i>	Realigning work groups, altering rules and regulations, increasing interdependence, and making similar structural changes to disrupt the status quo.
<i>Appointing a devil's advocate</i>	Designating a critic to purposely argue against the majority positions held by the group.

Source: Based on S. P. Robbins, *Managing Organizational Conflict: A Nontraditional Approach* (Upper Saddle River, NJ: Prentice Hall, 1974), pp. 59–89.

NEGOTIATION



Negotiation

1. **Negotiation** is a process that occurs when two or more parties decide how to allocate scarce resources
2. **Negotiation** has been defined as any form of direct or indirect communication whereby parties who have opposing interests discuss the form of any joint action which they might take to manage and ultimately resolve the dispute between them.



Approaches to Negotiation (Bargaining Strategies)

1. Distributive bargaining is a competitive bargaining strategy in which **one party gains only if the other party loses something**. It is used as a negotiation strategy to distribute fixed resources such as money, resources, assets, etc. between both parties.

Win- Lose Situation



Approaches to Negotiation (Bargaining Strategies)

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Approaches to Negotiation (Bargaining Strategies)

2. Integrative bargaining - requires collaboration and trust so parties can create value through discussing multiple issues. In integrative bargaining, creativity can lead to value-creation for both parties, as each side seeks to create an agreement beneficial to both parties.

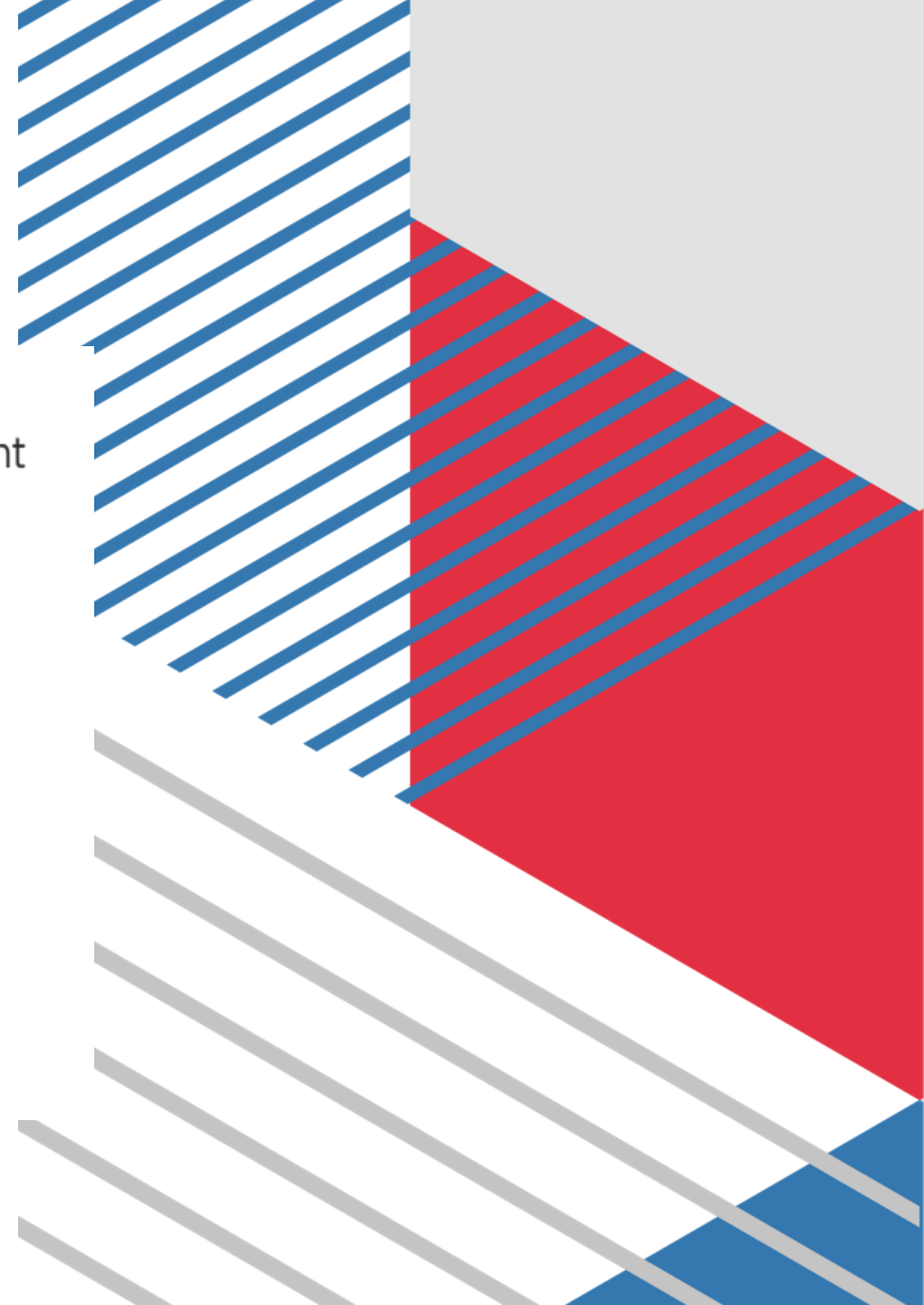
- Win-Win Situation



Integrative bargaining - Scenario

Consider this example: The marketing department and the information technology department are discussing what information they want to present about their company at a conference. Marketing wants to talk about all the recent accomplishments they achieved, while information technology wants to talk about their progress. However, there is limited time for their allocated slot, so they can only discuss a few points.

They write all the talking points for each department and decide they will combine them. The presentation will consist of a campaign the marketing department promoted that showed how successful information technology was at fixing a few issues at the company.



The Negotiation Process

1. Preparation and Planning

- As part of your preparation and planning, you should determine your and the other side's **best alternative to a negotiated agreement, or BATNA.**
- Your BATNA determines the lowest value acceptable to you for a negotiated agreement.
- Any offer you receive that is higher than your BATNA is better
- Eg. Lowest Salary you would be ready to accept.
- BATNA should not be disclosed to the other party.



The Negotiation Process

2. Definition of Ground Rules

- begin defining with the other party the ground rules and procedures of the negotiation itself.
- Who will do the negotiating?
- Where will it take place?
- What time constraints, if any, will apply?
- To what issues will negotiation be limited?
- Will you follow a specific procedure?



The Negotiation Process

3. Clarification and Justification

- At this stage -
both you and the other party will explain, amplify, clarify, bolster, and justify your original demands.
- This step needn't be confrontational



The Negotiation Process

4. Bargaining and Problem Solving

- The essence of the negotiation process is the actual give-and-take in trying to hash out an agreement.
- This is where both parties will undoubtedly need to make concessions



The Negotiation Process

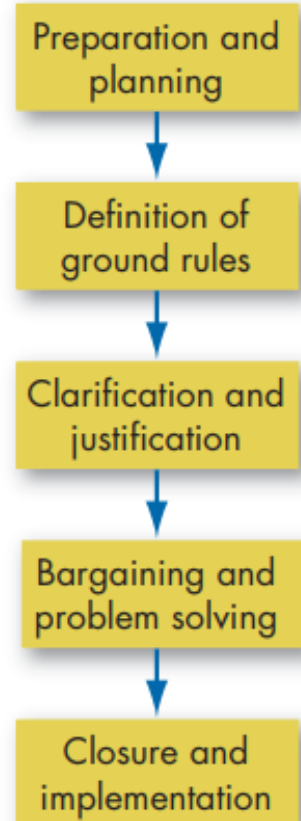
5. Closure and Implementation

- The final step in the negotiation process is formalizing the agreement.
- Work out and develop any procedures necessary for implementing and monitoring it.



Exhibit 14-7

The Negotiation



The negotiations between Disney and Lucasfilm - A
negotiation case study

